The government abolished wealth tax in 2014–15 and replaced it with 2 per cent surcharge that yielded thirty times more revenue.

Fundamental Issues with the Present System of Taxation of Wealth

There is need for a fundamental rethink on taxation of wealth. Let us begin by understanding wealth and its taxation in India. There are five stylized characteristics/facts.

First, there are two primary kinds of income or gains that accrue to the holder from wealth. First, the assets when given to others for use yield income for the holder. Financial savings given as loans yield interest and those invested as equity yield dividend. Likewise, a house given on lease yields rent and intellectual property given out for use yields royalties. The assets retained by the holder for self-use do not result in an income (though it might save expenditure, but that is not income earned) but might appreciate in value.

Second, the assets when sold or rights transferred therein may result in realized or cashed capital gains.

Third, there are three kinds of income and gains that accrue from the asset/wealth: income from use of the asset by others, valuation gains and capital gains on transfer.

Fourth, the present system of wealth taxation is very convoluted and complex on account of its historical evolution. Rent from leasing of land or building is rightly assessed as income for tax purposes. However, capital value of the land and building suffers two taxes at the time of its transfer. State governments collect stamp duty on the entire value of the asset and the Central government taxes the capital gains. The interest earned on bonds kept for less than three years suffers income tax but kept for more than three years is treated as capital gains and subjected to a lower rate of interest. Royalties earned on allowing the use of technological innovation suffer royalty as well as income tax. There is no depreciation permitted either.